Oregon

GENERAL INFORMATION

1. Oregon **does not** maintain an active list of approved surplus lines insurers (see Other Comments section #1).
2. Oregon **does** have a Surplus Lines Association (see Other Comments section #2).
3. Oregon **does not** have an Export List.
4. Oregon **does not** have an industrial insured exemption. Oregon has adopted the NRRA exempt commercial purchaser exemption but has eased some of the requirements (see Appendix C) to qualify as such a purchaser Or. Rev. Stat. § 735.405(6).
5. **Surplus lines tax**: 2% payable by broker, and an additional 0.3% fire marshal tax payable by broker (applicable to all surplus lines premiums), plus $10 flat service charge applicable for each new or renewal (not endorsement) transaction (see Other Comments section #4 and #5).
6. Oregon **does not** allow domestic surplus lines insurers in the state.

ELIGIBILITY AND FILING REQUIREMENTS (ALL INSURERS)

Annual Statement/Report: in U.S. dollars (affidavit of filing with NAIC acceptable for foreign insurers).

ELIGIBILITY AND FILING REQUIREMENTS (ALIEN INSURERS ONLY)

Trust Fund: $5.4 million; or listed on the NAIC Quarterly List of Alien Insurers as of the date of placement of the policy.

ELIGIBILITY AND FILING REQUIREMENTS (FOREIGN INSURERS ONLY)

1. **Certificate of Good Standing** from domicile state.
2. **Capital and Surplus**: $15,000,000.
3. **Annual Statement instructions**: For a foreign insurer to maintain surplus lines eligibility in Oregon, either a surplus lines licensee or the insurer must file the insurer's annual statement by June 30 each year. There is no annual statement filing fee. The annual statement can be filed electronically with the NAIC. The insurer also must file a hard copy of the signed jurat page in Oregon as proof of filing. The signed jurat page may be sent to:

Taylor Straight, Insurance Tax Analyst

Financial Regulation Section

Oregon Insurance Division -4

Mailing Address:

P.O. Box 14480

Salem, OR 97309-0405

Street Address:

350 Winter St. NE

Salem, OR 97301-3883

TYPES OF INSURANCE EXEMPTED FROM SURPLUS LINES REGULATION

The definition of surplus lines insurance under Or. Rev. Stat. § 731.144 does not mean reinsurance, wet marine and transportation insurance, independently procured insurance, life insurance and health insurance and annuities. Oregon law also exempts insurers writing wet marine and transportation insurance from the requirement to have a certificate of authority. The following risks are exempt from surplus lines tax: 1) Federal government entities; 2) Federal and state-chartered credit unions; and 3) Insurance policies purchased by Native American tribes or tribal member covering exposures located on Indian reservation (see Other Comments section #5).

OTHER COMMENTS OR REQUIREMENTS

1. The Oregon Surplus Lines Association at www.oregonsla.org does maintain a list of eligible surplus lines insurers in Oregon for informational purposes only, not for approval status.

   Oregon is a "broker responsible" state and therefore surplus lines eligibility status for both foreign and alien insurers is based on the broker's determination that the insurer is acceptable.

   Such informational list is available at http://www.oregonsla.org/resources/insurer-listing.

   The "Insurer Listing" is a list of nonadmitted insurers who have provided a certified copy of their current annual statements to the state of Oregon as required by Or. Rev. Stat. § 735.415 (1)(c), indicating compliance with the minimum requirements of Or. Rev. Stat. § 735.415(1)(c) as of the date of the statement.

2. Contact information for the Oregon Surplus Lines Association is as follows:

   Jim Brown

   Surplus Line Association of Oregon

   7360 SW Hunziker Street, Suite 105

   Portland, OR 97223-2305

   Tel.: (503) 718-6700

   E-mail: Jim@oregonsla.org

3. Each insurance policy or certificate of insurance negotiated, placed, or procured by the surplus line licensee must bear the name of the licensee and the following legend in bold type:
"This insurance was procured and developed under the Oregon surplus lines laws. It is NOT covered by the provisions of ORS 734.510 to 734.710 relating to the Oregon Insurance Guaranty Association. If the insurer issuing this insurance becomes insolvent, the Oregon Insurance Guaranty Association has no obligation to pay claims under this insurance."

4. The Surplus Line Association of Oregon makes available to any interested party a "tax calculator" which enables interested parties to easily determine the taxes and charges applicable to a proposed transaction. The "tax calculator" may be assessed on the Association's website: www.oregonsla.org.
5. Oregon imposes a tax of ¾ of 1% or 0.0075 of the gross premium amounts plus fees on all non-admitted Wet Marine & Transportation insurance policies that the insurance producer places with unauthorized or non-admitted insurers if the insured's home state is Oregon (House Bill 2787).

   It is the responsibility of the insurance producer to collect, file and pay the tax within 90 days of the effective date of the policy of premium bearing endorsement. The filing and payment of the tax must be done through the Oregon Surplus Line Association – information is on their website at http://www.oregonsla.org/.

   The Surplus Line Association has the authority to charge a service charge for each policy or premium bearing endorsement filed.

   Details related to the service charge is on their website.Details relating to the law can be found in the text of the enrolled bill: https://olis.oregonlegislature.gov/liz/2019R1/Downloads/MeasureDocument/HB2787
6. Oregon allows surplus lines insurers to provide auto coverage under the financial responsibility provisions.
7. The Oregon Insurance Commissioner may accept foreign insurers on a case-by-case basis who do not meet the minimum capital requirements but in no event may the commissioner make an affirmative finding of acceptability when the surplus is less than $4.5 million.

Contact Our Insurance + Reinsurance Team

CONTACT US